



Average Cost of Owning a Car in 2026



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Owning a typical new car costs about \$11,577 a year, or \$965 a month, based on the

In today's dollars, drivers pay about 2.7% less than in 2020 despite nominal costs running more than 20% higher than before the pandemic. MoneyGeek's [car ownership statistics analysis](#) tracks ownership rates by metro and region.



CAR OWNERSHIP COST HIGHLIGHTS

- **Current average:** About \$11,577 a year (\$965 a month) for a new car driven 15,000 miles
- **Real costs:** About 8.2% lower than last year and about 10% below the 2023 peak
- **Insurance:** Premiums up about 18% since 2020 in nominal terms but about 5.4% lower in real terms
- **Vehicle choice:** Half-ton pickups cost about \$6,400 more a year to own than small sedans
- **Affordability:** Car ownership now consumes about 13.8% of median household income, down from 15.1% in 2023



Understanding Real vs. Nominal Costs

Nominal cost is the dollar amount actually paid, the figure that appears on bills and bank statements. Real cost adjusts that figure for inflation to reflect current purchasing power.

The average cost of owning a car climbed from \$9,561 in 2020 to about \$11,577 today, about a 21% nominal increase. The 2020 figure equals about \$11,894 in today's dollars. Current costs are about 2.7% lower in real terms.

MoneyGeek's [average price of a new car](#) breakdown tracks how sticker prices and income moved over the same period. The analysis draws on recent *Your Driving Costs* reports and Bureau of Labor Statistics inflation data covering the past five years.

Nominal vs. Inflation-Adjusted Car Ownership Costs (2020 to 2025)

In real terms, average car ownership costs peaked in 2023 and fell about 10% by 2025, even though nominal costs are more than 20% higher than in 2020.

What Changed Recently: Where Costs Fell

The 5.9% nominal drop in total ownership costs understates the real gain. With inflation at 2.7% as car costs fell, drivers gained about 8.2% in real purchasing power.

Four categories led the decline:

- **Depreciation** fell to \$4,334 a year, down from a real-terms equivalent of \$4,802 the prior year. That's a 9.7% real decline as new car prices stabilized and used car values held up.
- **Finance charges** dropped about \$200 a year as loan rates pulled back from recent highs.
- **Fuel** saw the biggest swing: gas prices dropped from about \$3.99 per gallon to \$3.15, a 21% decline.
- **Insurance** is still above its 2020 level in dollar terms, with full coverage averaging about \$1,694 versus \$1,440 in 2020. But in today's dollars, those 2020 premiums

trendingDown icon

About \$4,334 a year, 37% of total, the drop in value between purchase price and trade-in value after five years and 75,000 miles.

carInsurance icon

About \$1,694 a year, 15% of total, full-coverage auto insurance, which varies widely by state and driver profile.

gasCard icon

About \$1,950 a year, 17% of total, based on 13 cents per mile and 15,000 annual miles.

hammer icon repairs

About \$1,694 a year, 14% of total, including routine maintenance, repairs and one set of tire replacements.

coins icon fees

About \$1,151 a year, 10% of total, assuming a five-year loan with 15% down at average interest rates.

driverLicense icon fees

About \$815 a year, 7% of total, including sales tax, annual registration and licensing fees.

**These averages assume 15,000 miles of driving a year in a new vehicle.*

Car Ownership Cost Breakdown at a Glance

Depreciation, insurance and fuel account for 69% of the \$11,577 annual total. Maintenance, finance charges and fees cover the remaining 31%.

Category	Estimated Annual Cost	Share of Total
Depreciation	\$4,334	37%
Insurance	\$1,694	15%
Fuel	\$1,950	17%

Maintenance and repairs	\$1,656	14%
Finance charges	\$1,131	10%
Registration, license, tax	\$813	7%
<i>Total</i>	<i>\$11,577</i>	<i>100%</i>

Average Monthly Cost of Owning a Car

Car ownership costs average **\$965 a month**. That figure assumes 15,000 miles a year and a financed new vehicle. Monthly figures are rounded and may not add up exactly to annual totals. Costs vary by vehicle type: small sedans average about \$698 a month, while half-ton pickups average about \$1,232 a month.

Category	Monthly Cost	Annual Cost	Percentage
Depreciation	\$361	\$4,334	37%
Insurance	\$141	\$1,694	15%
Fuel	\$163	\$1,950	17%
Maintenance	\$138	\$1,656	14%
Finance	\$94	\$1,131	10%
Registration, license, tax	\$68	\$813	7%
<i>Total</i>	<i>\$965</i>	<i>\$11,577</i>	<i>100%</i>

Real Cost Breakdown: 6 Major Categories in Today's Dollars

Measured in today's dollars, every major cost category is lower than in 2020. Some dropped slightly; fuel fell by nearly a third.

- **Depreciation:** About \$4,334 a year now vs. about \$4,627 in 2020 (in today's dollars), a 6.3% real decrease
- **Insurance:** About \$1,694 a year now vs. an estimated \$1,791 in 2020 (in today's dollars), a 5.4% real decrease
- **Finance charges:** About \$1,131 a year now vs. \$1,306 in 2020 (in today's dollars), a 13.4% real decrease
- **Fuel:** 13 cents per mile now vs. about 19.2 cents per mile in 2020 (in today's dollars), a 32.3% real decrease
- **Registration, license and taxes:** About \$813 a year now vs. \$938 in 2020 (in today's dollars), a 13.3% real decrease
- **Maintenance, repair and tires:** 11.04 cents per mile now vs. about 11.8 cents per mile in 2020 (in today's dollars), a 6.4% real decrease

[+ Depreciation: About \\$4,334 a Year \(37% of Total\)](#)

[+ Finance Charges: About \\$1,131 a Year \(10% of Total\)](#)

[+ Fuel: 13 Cents per Mile \(About \\$1,950 a Year for 15,000 Miles\)](#)

[+ Insurance: About \\$1,694 a Year \(15% of Total\)](#)

[+ License, Registration and Taxes: About \\$813 a Year \(7% of Total\)](#)

[+ Maintenance, Repair and Tires: 11.04 Cents per Mile \(About \\$1,656 a Year\)](#)

Vehicle Choice Creates a \$6,400 Annual Cost Spread

The vehicle you choose has the biggest effect on total ownership costs. At \$6,400, the annual gap between the cheapest and most expensive categories exceeds what many U.S. households spend on groceries.

Small sedans run about \$8,381 a year and are the most economical option. The Honda Civic, Toyota Corolla and Mazda3 offer low ownership costs, strong reliability and high resale value.

Pair these figures with MoneyGeek's [best car insurance companies](#) guide to see how insurance quotes shift between vehicle types.

2025 Ownership Costs by Vehicle Category (15,000 Miles)

Vehicle Type	Cost per Mile	Annual Cost	Monthly Cost	Difference vs. Small Sedan
Small sedan	55.87¢	\$8,381	\$698	baseline
Hybrid	63.94¢	\$9,591	\$799	+\$1,210
Compact SUV	68.53¢	\$10,280	\$857	+\$1,899
Electric vehicle	71.21¢	\$10,682	\$890	+\$2,301
Medium SUV	83.89¢	\$12,584	\$1,049	+\$4,203
Half-ton pickup	98.54¢	\$14,781	\$1,232	+\$6,400

Electric Vehicle Costs Fell Sharply, Now Competitive With Gas SUVs

Electric vehicles saw the biggest cost improvement of any category. After peaking at 84.69 cents per mile, average EV ownership costs fell 16% to about 71.21 cents per mile.

Four trends caused the decline:

- **Depreciation stabilized** as the used EV market grew and buyers accepted eight-to-10-year battery warranties.

- **Residential electricity prices rose** from about 15.9 cents to 16.7 cents per kilowatt-hour. At about 3.5 miles per kilowatt-hour, EV drivers pay about 4.8 cents per mile for energy, versus 13 cents per mile for gas vehicles.
- **Purchase prices fell** as federal incentives of up to \$7,500 and manufacturer price cuts pushed costs down.

At about \$10,682 a year, EVs cost about \$2,301 more than small sedans and \$402 more than compact SUVs, but about \$1,899 less than medium SUVs. Drivers who charge at home, cover at least 15,000 miles a year and hold the vehicle for at least five years can match the cost of comparable gas SUVs within three to five years.

The Affordability Reality: Real Income vs. Real Costs

How ownership costs compare to household income determines affordability as much as the raw dollar figures.

Median Income vs. Car Ownership (Real Analysis, 2020 to 2025)

Car ownership consumed about 15.1% of median household income at the 2023 peak. The decline to about 13.8% put roughly 1.3 percentage points (about \$1,088 a year) back in the median household budget.

MoneyGeek uses the latest available Census income data, covering 2023 to 2024, to approximate current income because official 2025 figures aren't yet published.

Year	Real Income (2025 Dollars)	Real Car Cost (2025 Dollars)	Months of Income	Share of Income
2020	\$84,016	\$11,894	1.70	14.2%
2021	\$84,091	\$11,483	1.64	13.7%
2022	\$82,038	\$11,801	1.73	14.4%

2023	\$85,125	\$12,871	1.81	15.1%
2024	\$84,859	\$12,617	1.78	14.9%
2025	\$83,730 (estimated)	\$11,577 (nominal)	1.66	13.8%

The 20/4/10 Rule Reality Check

Many personal finance experts recommend the 20/4/10 rule: 20% down payment, loan term of four years or less, and total vehicle expenses (payment plus insurance plus fuel) under 10% of gross monthly income.

For a median-income household at \$83,730:

- **10% monthly maximum:** about \$698
- **Average new car payment in late 2025:** about \$749
- **With insurance (\$141 monthly) and fuel (\$163 monthly):** roughly \$1,053 total

That \$1,053 runs about 51% above the recommended target for median earners.

The rule works better for households earning \$120,000 or more. Buyers with lower incomes can close the gap by buying three- to five-year-old used vehicles, choosing a smaller vehicle like a compact SUV instead of a full-size truck, or putting more money down.

The Real Cost Journey (2020 to 2025)

Inflation-adjusted costs show whether ownership became more or less affordable each year, not just whether prices moved.

Year	What You Paid (Nominal)	Worth Today (Real, 2025 Dollars)	Nominal Change vs. Prior Year	Real Change vs. Prior Year	What Happened
2020	\$9,561	\$11,894	baseline	baseline	The pandemic suppressed driving and demand.
2021	\$9,666	\$11,483	+1.1%	-3.5%	Supply chains were strained, but real costs fell.
2022	\$10,728	\$11,801	+12.2%	+2.8%	Inflation surged, and real costs rose.
2023	\$12,182	\$12,871	+27.4%	+9.0%	Real costs spiked and made car ownership less affordable.
2024	\$12,297	\$12,617	+0.9%	-1.9%	Nominal costs peaked, but real costs started to ease.
2025	\$11,577	\$11,577	-5.9%	-8.2%	Relief in both real and nominal terms.

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OWNERSHIP COSTS

Mike Baldicana, Web Content Specialist at Kostex Garage Repair

Calculate total ownership costs before signing. The monthly payment is one line item: insurance, maintenance and fuel add thousands a year.

Dealerships aren't always the best choice for routine maintenance. Independent mechanics often charge less for oil changes and standard repairs.



2026 OUTLOOK

Falling real costs and moderating inflation have eased the cost burden for car buyers in 2026.

- The monthly payment covers only a fraction of total ownership costs. A \$35,000 vehicle at 6% APR costs about \$42,000 over 60 months, including roughly \$7,000 in interest, before depreciation, insurance and fuel.
- The \$6,400 annual gap between half-ton pickups and small sedans equals about \$533 a month. Trucks bought mainly for occasional heavy-duty use are hard to justify on cost.
- The EV cost premium narrows for drivers who charge at home and drive more than average. The \$2,301 annual gap over small sedans shrinks with home charging, higher annual mileage and federal tax credits worth up to \$7,500 for many models. Five-year total ownership costs show the true gap between EVs and comparable gas vehicles.
- With real costs down roughly 10% from the 2023 peak, maintenance on a paid-off vehicle runs \$1,500 to \$2,000 a year, far below the \$10,000 or more a new one costs.

room for unexpected repairs.

FAQ: Average Car Ownership Costs



What is the average monthly cost of owning a car right now?

Owning a typical new car costs about \$965 a month, or \$11,577 a year, based on the latest data. That figure includes depreciation, insurance, fuel, maintenance, registration and finance charges. Small sedans average about \$698 a month. Half-ton pickups average about \$1,232 a month.



How much have car ownership costs increased since 2020?



Why did car ownership costs drop recently?



What is the most expensive part of owning a car?



How do electric vehicles compare in total ownership costs?

About Myryah Irby



Myryah Irby is a writer and data journalist at MoneyGeek. Her work spans original data studies and how-to guides covering auto, home and health insurance, consumer costs and transportation safety.

Research and Analysis

Since joining MoneyGeek in late 2025, Irby has produced data studies on insurance costs, consumer spending and transportation risk. Her published work includes [a 50-state analysis of winter driving danger using fatality and weather severity data](#); [research tracking the relationship between rhodium commodity prices and catalytic converter theft rates, including state-level theft trends and what those rates mean for insurance costs](#); [a](#)

Career

Irby has more than 20 years of editorial and writing experience. Since 2005, she has run Irby x Irby, her own editorial and copywriting practice, with clients including The New York Times, The San Francisco Chronicle, OpenAI and the National Park Service. From 2019 to 2023, she served as Senior Managing Editor and then Copywriting Manager at Callisto Media, a nonfiction publisher acquired by Penguin Random House in May 2023, where she led a team of writers and graphic designers.

Before that, she spent nearly 11 years at QuinStreet, a performance marketing company that runs content and comparison sites in insurance and personal finance. She rose from Managing Editor to Senior Managing Editor between 2010 and 2016. Earlier in her career, she edited at Collabrys for nearly four years and tutored doctoral candidates on dissertation writing at the University of San Francisco.

[Read Full Bio »](#)



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